TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

Australian Financial Review (John Kehoe)
5 November 2026

RBA deputy denies pre-empting the board's rate decision

> Some external members of the RBA's monetary policy board reportedly felt that senior staff's public comments made November's rate rise look decided in advance. Deputy governor Andrew Hauser says he was only explaining the data.

WHAT HAPPENED

- Hauser told a Citi conference on 21 October that the inflation outlook looked materially worse. Market odds of a hike jumped from about 20% to 60%, then to 80% after the 28 October CPI.
- Assistant governor Sarah Hunter told 60 Minutes the RBA had 'not quite yet' done enough.
- Hauser says he was following the 2023 RBA Review's advice to explain policy publicly, and was not trying to steer markets.
- He wants the RBA to explain how it would react to new data, without promising a path for rates ('forward guidance').
- Former board member Warwick McKibbin backs more public debate. Westpac's Luci Ellis says the comments made a hike feel inevitable, and notes the 6–3 vote shows not all members share the RBA's view of supply capacity.

20% → 80%
Market odds of a November hike, before and after Hauser's speech and the CPI

6–3
Board vote to raise the cash rate to 4.85%

9
Board members: 3 internal and 6 external

Forward guidance: a central bank signalling the future path of interest rates

Inflation expectations: what people expect inflation to be; these feed into wages and prices

FLOW CHART

Why central bank communication matters

RBA explains how it sees the data → Markets and households update rate expectations → Bond yields and lending rates move before the meeting → Inflation expectations stay anchored → **Smaller rate rises needed to hit 2–3%**

Exam angle: Communication is part of the **transmission mechanism**, but it creates a tension with **board independence**. Discuss both, using the 6–3 split as evidence of real debate on the board.

SYLLABUS LINK

Topic 4 – Monetary policy: the RBA's decision-making, independence, communication and the role of inflation expectations.

TRY THIS

1. Explain how central bank communication can influence inflation expectations. **(4 marks)**
2. Discuss one benefit and one risk of RBA officials commenting publicly before a board meeting. **(4 marks)**

Read more: AFR – Hauser denies pressuring RBA board with market-moving speech (5 Nov 2026) · rba.gov.au/media-releases/2026/mr-26-30.html

Summary written in our own words for classroom use